

CONTEXTLOGIC INC LOGC

September 30, 2024 - 8:38pm EST
by

Supernova

			2024	2025
Price:	5.45	EPS	0	0
Shares Out. (in M):	26	P/E	0	0
Market Cap (in \$M):	143	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	-16	TEV/EBIT	0	0

Description

Elevator Pitch

ContextLogic ("Logic") is a cash & NOL shell currently trading at a 7% discount to its net cash and likely worth 2x its current price within the next two years if it follows the path of precedent NOL maximization strategies. Logic's valuation represents a free call option on an attractively structured deal that monetizes their NOL.

Description & Background

Logic is a shell company whose assets consist solely of cash and NOLs. It previously owned Wish.com, an online dollar store that went public in late 2020 at a market value of \$10.7B. It peaked a month later at \$21B only to rapidly slide into oblivion. It never turned a profit and was sold earlier this year for \$173MM (lol as long as you weren't long). Logic is now nothing more than a corporate shell with \$155MM in net cash and \$2.8B in Federal NOLs.

Logic's stated intention is to maximize the value of their NOLs via acquisition of a business that generates substantial taxable earnings. A key component of the strategy is partnering with a financial sponsor that can provide the additional capital needed to make an acquisition big enough to use the NOLs and pull the value of them forward, thus maximizing their present value.

As a reminder, under Section 382 of the Internal Revenue Code NOLs cannot be used following a change of control (i.e. NOLs cannot be acquired), thus their efforts to do what is essentially a reverse merger. In order to avoid violating IRC change of control rules, Logic has instituted a Tax Preservation Plan where no shareholder can acquire >4.9% of the company (\$6.9MM).

Logic's NOLs consist of:

\$886MM	Federal NOLs that expire between 2030-2037
\$1.9B	Federal NOLs with no expiration
\$2.8B	Total Federal NOLs
\$7.0B	State NOLs that expire between 2026-2043
\$2.0B	State NOLs that have no expiration
\$9.0B	Total State Nols

That's a lot. And they are based in the People's Republic of California which, in this case, doesn't hurt. (Given the complexity and highly uncertain nature of using the State NOLs, I will leave them out of our analysis.)

Importantly, management has stated they will return the cash to shareholders if they cannot find a suitable deal within a reasonable amount of time.

Valuation - Scenario one

There are two components of value - net cash and the present value of the tax assets (going forward I will mainly refer to the present value of the tax assets as PV10-DTA, shorthand for the present value of the deferred tax asset at a 10% discount rate).

I am going to present two valuation scenarios.

1. Scenario One assumes they make an acquisition funded with no additional equity and a 50/50 debt/equity capital structure. It is highly unlikely they will make an acquisition with such little funding because it doesn't maximize the PV of the NOL and goes against precedent NOL maximizing strategies. However, it is useful for illustrative purposes, setting a conservative baseline value for the PV10-DTA using only existing equity.
2. Scenario Two will assume an acquisition funded with a 50/50 debt/equity mix but with a substantial (and expected) capital raise that allows them to fully utilize their NOL.

Let's start with Scenario One: no equity raise.

Logic currency has \$159MM in net cash, equal to \$6.15 per share. They have guided to \$155MM at year-end, or \$5.99/share. They expect minimal cash burn, if any, going forward. I have assumed \$1MM/quarter in net cash burn for 2025. (My interpretation of completing a deal "within a reasonable period of time" means by year-end '25.)

CAPITAL	
2Q24 net cash	\$159.0
FYE24e net cash	\$155.0
# shares	25.9
FYE24e net cash/share	\$5.99
Exp. annual cash burn/share	\$0.15
FYE25e net cash/share	\$5.84

I assume they raise \$150MM in debt capital, giving them a 50/50 debt/equity mix and ~\$300MM in total capital for an acquisition.

FUNDING	
Scenario: no equity raise, 50/50 D/E mix	
Debt raise	\$150
Equity raise	\$0
Cash on hand	\$150
Total capital available	\$300

With this \$300MM they will make an acquisition, most likely in the financial services sector (bank, consumer finance, insurance) because 1) they generate a lot of taxable earnings relative to their stock prices and 2) it is easier to deploy excess capital into these businesses than many other sectors (e.g. excess capital can be used to expand the loan book, buy MSRs, buy insurance blocks, etc.). Multiples here are 7-11x. We are going to be very conservative and assume they pay 12x for an acquisition. A 12x P/E is 9.5x pre-tax. Deploying \$300MM at 12x after-tax earnings implies \$32MM in pre-tax earnings, and \$20MM in after-tax earnings after accounting for interest expense on the additional \$150MM in debt.

Proforma NOL Usage	
Acquisition price	\$300
P/E: 12x, 9.5x pre-tax	9.48
Implied pre-tax earnings	\$32
less additional interest exp.	\$12.0
Pre-tax (and after-tax) income	\$19.6
Post-financing annual NOL	\$19.6

Their annual NOL usage should equal their pre-tax income until the NOLs are fully utilized. Starting with \$19.6MM in annual pre-tax earnings and NOL usage in 2026 I grow them at a 10% CAGR and then discount them back to the present at 10% to get a PV10-DTA of \$3.09/share, as summarized below. Also, I assumed \$550MM of their NOLs are lost because they couldn't use them all by the 2030-37 partial expiration.

LOGC NOL VALUE				
	NOL	80% of NOL	DTA 21%	PV10-DTA
2026	\$19.6	\$16	\$3.3	\$3.0
2027	\$21.6	\$17	\$3.6	\$3.0
....				
2050	\$193.5	\$155	\$32.5	\$3.0
2051	\$212.9	\$170	\$35.8	\$3.0
2052	\$234.1	\$123	\$25.8	\$2.0
Total	\$1,839	\$386	\$80	
per share	\$71.14	\$14.94	\$3.09	

Let's talk about these assumptions. 10% earnings growth will strike some as high but keep in mind this is not an organic growth rate. They will almost assuredly retain 100% of their earnings and deploy it back into the business via acquisitions or organic opportunities. Growth rate = ROE * (1-DPR), so with a DPR of zero Logic's growth rate will equal its ROE. A 10% incremental ROE is a very normal base rate for the equity returns of a company reinvesting all of its earnings.

The discount rate used to calculate the PV of NOLs should theoretically reflect the probability that the company can generate pre-tax income sufficiently positive to utilize the NOLs. The steadier and more reliable the income, the lower the discount rate. The risk they don't generate sufficient positive earnings to use their NOLs is very low imo. The timing may be an issue, but that should not be reflected in the discount rate. Most academics say the appropriate rate is the risk-free rate plus some premium, or the cost of debt, or WACC. So my 10% discount rate assumption is very conservative. Theoretically we see a strong case to use a very low discount rate, but practically we think investors may not distinguish between operating cash flow and cash flow from tax benefits.

Lastly, we only discount 80% of the annual NOL. The 80% NOL rule was introduced by the Tax Cuts and Jobs Act of 2017 and limits net operating loss carryforwards to 80% of each subsequent year's net income.

With all that out of the way let's take a look at total company value under this illustrative scenario. Cash/share of \$5.84 plus \$3.09 for the PV10-DTA equals \$8.93 in proforma book value, or intrinsic value, 65% upside from here.

LOGC VALUATION		
	Scenarios	
	Current	No equity raise
Stock price	\$5.42	\$5.42
# shares	25.9	25.9
Market Cap.	\$140	\$140
Debt	\$0	\$150
Gross cash	(\$155)	(\$305)
Enterprise value	(\$15)	(\$15)
Book value	\$150	\$150
BV/share	\$5.84	\$5.84
PV10-DTA/share	\$0.00	\$3.09
Proforma BV/share (BV + DTA)	\$5.84	\$8.93
Upside		65%

Again, this is an unrealistically conservative scenario but helps illustrate the NOLs value and hopefully represents a floor.

Now let's take a look at Scenario Two, a much more realistic scenario where Logic issues substantial equity. It is complex to calculate the value in this scenario because there is potential for circularity. To estimate the value of the PV10-DTA you need to know the price of equity issuance to estimate dilution,

but to estimate the price of an equity raise you need to have some estimate for the value of the PV10-DTA. Using a precedent NOL maximization strategy as a guide (WMIH), I think I've solved this puzzle, however, it involves quite a bit of spreadsheet gymnastics and is not guaranteed to be perfect or even right. Let's take a quick detour to see how financial sponsors (KKR in this case) valued a shell company's NOLs.

The Precedent - WMIH and KKR

WMIH (written up twice on VIC), was an NOL shell formed from the ashes of the Washington Mutual bankruptcy. WMIH began its public life in 2012 with a market cap of ~\$160MM and an EV of ~\$100MM. They owned little more than \$60MM in net cash and a massive \$6B NOL. They partnered with KKR who essentially took a controlling stake over the course of two funding rounds in 2013 and 2015. The capital came primarily in the form of a large mandatorily convertible preferred bond, and also some warrants. Details on WMIH's capital raising activities are in the appendix.

WMIH ended up acquiring NSM in 2018, a mortgage originator and service provider, now known as Mr.Cooper (COOP) for 7.4x earnings. To raise the capital needed to acquire NSM WMIH did three funding rounds, two with KKR and one with NSM shareholders when they closed their acquisition. As you can see below, KKR invested at a big premium to WMIH's book value. Why? Because they saw the potential value in the NOLs.

WMIH VALUATION*				
	Pre-funding 2012-13 Avg.	First Round 12/31/2013	Second Round 1/15/2015	Deal Round 7/31/2018
Stock price	\$9.36	\$16.04	\$27.00	\$18.00
# shares	16.8	22.7	44.3	91.4
Market Cap.	\$157	\$365	\$1,196	\$1,645
Net cash/debt	\$60	\$156	\$736	(\$2,159)
Enterprise value	\$97	\$209	\$460	\$3,804
BV/share (post-money)	\$3.57	\$6.86	\$16.62	\$12.52
PV10-DTA/share (post-money)	\$72.75	\$53.76	\$27.60	\$10.22
Proforma BV (BV+DTA)	\$76.32	\$60.62	\$44.22	\$22.74
Price/Book	262%	234%	162%	144%
Price/Proforma Book	12%	26%	61%	79%
Weighted avg. price of capital raises/post-money proforma BV				68.5%

*assumes all converts are converted and warrants are exercised

Notable observations:

1. In 2013 KKR bought equity (via warrants) at \$16 when WMIH's book value was only \$3.57 and the stock was ~\$9. In 2015 they invested in WMIH again, paying \$27 (via a convert) when the book value was only \$6.86 pre-money and \$16.62 post-money. However, proforma book value accounting for the PV10-DTA was WAY higher, as you can see above. On a proforma post money basis, including the PV10-DTA in the definition of book value, KKR only paid 26% of book in the first round and 61% in the second round.
2. Tangible book value per share grew after every KKR round, and the PV10-DTA/share fell, as WMIH was essentially monetizing its NOL. It's not shown here, but WMIH went from ~\$9 to ~\$40 after the first funding round as investors caught on to the potential.
3. WMIH's intrinsic value is the ending (2018) Proforma BV shown above (BV plus the DTA). The acquisition funding required a ton of dilution - proforma BV started at \$76 in 2013, declining to \$22 at deal close, a necessary part of monetizing the NOL. i.e the \$76 beginning proforma BV was not realizable without substantial capital raising needed to fund the NOL monetization.
4. The decline in the price from the second round to the third/deal round is entirely attributable to the Trump tax cuts in 2017, which reduced the value of the NOL by 40%. This is highly unlikely to reoccur. It is more probable that corporate tax rates move higher over the life of Logic's NOLs.

To estimate the price KKR put on the PV10-DTA, we calculated the difference between the price of each capital raise less the tangible book value per share on a post-money basis. This price difference between book value and issuance price gives us the implied value of the NOL, shown below.

WMIH VALUATION*				
	Pre-funding 2012-13 Avg.	First Round 12/31/2013	Second Round 1/15/2015	Deal Round 7/31/2018
Price of capital raises		\$16.04	\$27.00	\$18.00
less BVPS		\$6.86	\$16.62	\$12.52
=Implied value of NOL		\$9.18	\$10.38	\$5.48
Implied NOL value / PV10-DTA		17%	38%	54%
% of Capital Raised		6%	39%	55%
Weighted average				45.2%
Gross NOLs/share	\$357	\$264	\$135	\$66
Price/Gross NOLs	2.6%	6.1%	19.9%	27.4%
EV/Gross NOLs	1.6%	3.5%	7.7%	63.4%
EV/PV-10 NOLs	8.0%	17.1%	37.6%	407.3%

Finally, we divide this implied NOL value by its actual PV10 value to get the price KKR paid for the tax assets as a percent of its actual value. The money shot is the weighted average price KKR (and NSM shareholders in the final round) paid as a percent of the DTA, highlighted in yellow above. This is the number we will use to help estimate the cost of equity and expected dilution at Logic.

Post-mortem: WMIH was a homerun. The deal was highly accretive to NSM's earnings and BV. They used all of their NOLs in the first five years. The stock has 10x'ed from ~\$9 pre-funding in 2013 to \$18 upon deal completion in 2018 (despite the 40% decline in their NOL value due to the tax cuts) to ~\$90 today. In hindsight WMIH was significantly undervalued then, so using them as a precedent could be too conservative.

If you are still with me I am impressed. You are through the hardest part!

Valuation - Scenario Two

Back to valuing Logic keeping the approach above in mind because we will be using it.

Step one: how much capital does Logic need to make an acquisition big enough to fully utilize their NOLs? \$2.7B in NOLs used over 15 years equals \$180MM in annual NOL usage. So they need \$180MM in pre-tax earnings to fully utilize their NOLs. Assuming they pay 12x earnings for an acquisition, or 9.5x pre-tax, they need \$1.7B in total capital for their acquisition. Let's assume they use a 50/50 debt/equity mix, which is what WMIH used.

CAPITAL RAISE	
Federal NOL	\$2,700
assume years to use	15
Annual NOL available	\$180
Pre-tax earnings*	\$180
P/E (12x, 9.5x pre-tax)	9.48
Capital needed for acquisition	\$1,706

The 50/50 mix equals \$853MM in new debt and \$703MM in new equity, plus the cash on hand gives them \$1.7B.

REQUIRED FUNDING	
Scenario: 50/50 debt/equity mix	
Debt raise	\$853
Equity raise	\$703
Funding required	\$1,556
Cash on hand	\$150
Total Capital for acquisition	\$1,706

Before calculating the PV10-DTA we need to estimate pre-tax income after the interest expense on the new debt.

Proforma NOL Usage	
Acquisition price	\$1,706
Pre-tax P/E for acquisition*	9.5
Implied earnings	\$180
less interest expense	\$68.3
Pre-tax income	\$111.7
Post-financing annual NOL	\$111.7

So we have ~\$112MM in pre-tax income and annual NOL usage. We can now calculate our PV10-DTA.

LOGC NOL VALUE				
	NOL	80% of NOL	DTA 21%	PV10-DTA
2026	\$111.7	\$89	\$18.8	\$17.1
2027	\$122.9	\$98	\$20.6	\$17.1
.....				
2039	\$385.7	\$309	\$64.8	\$17.1
2040	\$424.3	\$220	\$46.2	\$11.1
2041	\$466.7	\$41	\$8.6	\$1.9
Total	\$2,700	\$447	\$218	
per share	\$27.29	\$17.31	\$8.44	

Before any equity dilution the PV10-DTA on Logic's \$2.7B NOL is \$8.44/share.

But how much dilution will they take on to capture this value, and what then is the proforma value of the DTA? This is where the WMIH math comes into play.

Recall that WMIH was able to raise equity capital at a weighted average cost of 45.2% of its post-money PV10-DTA value. If we assume Logic raises money at this same 45.2% of its post-money proforma book value (book value plus PV10-DTA), then they would issue 73MM shares at a cost of \$9.62 per share, likely issued in the form of warrants and converts. The PV10-DTA value gets diluted down from \$8.44/share to only \$2.20/share; however, because Logic is raising capital at prices above book value (as WMIH did), tangible book value rises from \$5.80 to \$8.62. All in, book value of \$8.62 + PV10-DTA of \$2.20 = \$10.83, or 99% upside.

LOGC VALUATION		
	Scenarios	
	Current	Funding*
Stock price	\$5.43	\$9.62
# shares	25.9	98.9
Market Cap.	\$140	\$952
Debt	\$0	\$853
Gross cash	(\$155)	(\$1,706)
Enterprise value	(\$15)	\$99
Book value	\$150	\$853
BV/share	\$5.80	\$8.62
PV10-DTA/share	\$8.44	\$2.20
Proforma BV/share (BV + DTA)	\$14.24	\$10.83
Upside		99%
Price/Book	94%	112%
Price/Proforma Book	38%	89%
Price	\$5.43	\$9.62
less BV/share	\$5.80	\$8.62
=Implied value of NOL	-\$0.37	\$1.00
Implied/Actual NOL value	-4%	45.2%
Gross NOLs per share	\$104	\$27
PV-10 DTA per share	\$8.44	\$2.20

FTI consulting conducted a fair value analysis of Logic's NOLs. Frankly I don't agree with many of their assumptions so I'm choosing not to include it here; however, if you would like to see the summary please refer to the thread on Alpinist's pitch on Logic here on VIC (under the ticker WISH).

Management

Logic is primarily a bet on capital allocation so the people allocating our capital are super important. The capital allocators are the CEO and four independent board members. Not a lot is known about them so this is a potential weak spot. The CEO is Rishi Bajaj, a hedge fund manager and founder of Altai Capital Management based in West Hollywood. They appear to be a highly concentrated value-oriented fund. Their most recent ADV shows \$228MM in AUM. They appear to have had some success many years ago, but AUM has declined materially in recent years, presumably on performance based issues but I don't know. Prior to joining the company as CEO in November, 2023, Bajaj and his fund owned no shares in Logic. While he admirably works for a \$1 salary, in August the Board paid him a \$620,000 bonus, 50/50 cash & RSUs. These are the only shares in Logic he owns which I find quite odd but possibly explainable by the fact that they have probably been in a black-out since he joined. His journey from hedge fund manager to hedge fund manager with a side gig as a CEO of a shell company he previously had no apparent relationship with is quite odd too.

The four non-employee directors have a general private equity flavor. They make \$150,000 annually. So we are looking at around \$2MM annually for total company compensation. At present it is a bit higher. They currently have 10 employees. I expect that has to do with WISH wind down and see no need for more than 3-4 employees. Through their commentary they have essentially guided to roughly zero cash burn.

Risks

It's a sellers market - They may not find a decent business to buy at an attractive valuation.

Capital allocators - they are a bit of an unknown, but I think the downside is protected by the \$6/share in net cash.

Short interest - 14% of the float is short. I am not sure what the thesis could be here other than index deletions, but it is puzzling.

Complexity - I did a lot of math gymnastics on this one and could have made big mistakes.

Appendix

Available Universe of Companies <12x earnings

Public companies with market caps of \$.5B-\$3.0B

	# co.'s	In Cali
<12x	223	17
<10	138	10
<8x	62	3

Management and Board Bios

Rishi Bajaj, age 44, Founder, President and Chief Investment Officer at Altai Capital Management and current director at ContextLogic. Bajaj joined the ContextLogic Board in November 2023 and played an active strategic role in structuring the Asset Sale. Prior to founding Altai Capital in 2009, Mr. Bajaj held positions at Silver Point Capital, L.P. and Gleacher Partners, LLC. Mr. Bajaj previously served on the boards of directors of MobileIron, Inc. (formerly, NASDAQ: MOBL) in 2020 and ServiceSource International, Inc. (formerly, NASDAQ: SREV) from 2014 to 2016. Mr. Bajaj graduated from The Wharton School at the University of Pennsylvania with a B.S. in Economics.

Michael Farlekas, age 58. Mr. Farlekas has served as the Chief Executive Officer of Onit, Inc., a provider of legal workflow software and solutions, since

January 2024. Prior to serving in that role, he served as the Chief Executive Officer of E2open, LLC, a provider of cloud-based, on-demand supply chain and execution software, from 2015 to 2023. Prior to serving in that role, Mr. Farlekas held positions at Roadnet Technologies, Inc., a provider of fleet management software solutions for private fleets, and RedPrairie Corporation, a provider of warehouse management solutions. Mr. Farlekas graduated from Fairleigh Dickinson University with a B.S. in Mechanical Engineering and from Jacksonville University with an M.B.A. in International Business. Mr. Farlekas brings to the Board 20 years of experience in executive leadership for enterprise software companies.

Marshall Heinberg, age 67. Mr. Heinberg is the founder and has served as the managing director of MAH Associates, LLC, a provider of strategic advisory and consulting services to companies evaluating financing and strategic alternatives, since 2012. He also serves as the chair of the board of directors of Custom Truck One Source, Inc. (NYSE: CTOS) and as a director of Union Carbide Corporation, a subsidiary of Dow Inc. (NYSE: DOW). Previously, Mr. Heinberg served as the chair of the board of directors of PAE, Inc. (NASDAQ: PAE) from 2020 to 2022 and on the boards of directors of Galmed Pharmaceuticals Ltd. (NASDAQ: GLMD) from 2018 to 2022 and ChannelAdvisor Corporation (NYSE: ECOM) from 2019 to 2022. Further, Mr. Heinberg previously served as the chair of the board of directors of Ecology and Environment, Inc. (NASDAQ: EEI), a subsidiary of WSP Global, Inc., from 2017 to 2020, as a director of Universal Biosensors, Inc. (ASX: UBI) from 2010 to 2021 and as an advisor to Burford Capital Limited (NYSE: BUR) from 2015 to 2020. Mr. Heinberg began his investment banking career in 1987 in the corporate finance division of Oppenheimer & Co., Inc. and served as head of the investment banking department and as a senior managing director of Oppenheimer & Co., Inc. from 2008 until 2012. Mr. Heinberg also served as the head of U.S. investment banking of CIBC World Markets from 2001 until 2008. Mr. Heinberg graduated from The Wharton School at the University of Pennsylvania with a B.S. in Economics and from Fordham University School of Law with a J.D. Mr. Heinberg brings to the Board over 35 years of capital markets, business and financial experience in complex and regulated industries.

Elizabeth LaPuma, age 45. Ms. LaPuma most recently served as the Head of the Balance Sheet Advisory Group at UBS Group AG (NYSE: UBS), serving as a Managing Director, from 2020 to 2023, particularly focused on representing financial institutions. She also ran Alvarez & Marsal Holdings, LLC's Asset Management Services group, from 2013 to 2020, managing a portfolio of assets including a \$2.5 billion portfolio of debt and equity investments and approximately another \$3.0 billion of international assets. Prior to that, Ms. LaPuma worked in the Financial Advisory Group of BlackRock, Inc. (NYSE: BLK), as well as at Lazard, Inc. (NYSE: LAZ), the global investment bank. Ms. LaPuma currently sits on the boards of directors of WeWork Inc. (OTC: WEWKQ); Digital Media Solutions, Inc. (OTC: DMSL); Ebix, Inc. (OTC: EBIXQ); Enterra Solutions LLC, a private market-leading industrial scale artificial intelligence value chain solutions provider; Foundation Home Loans, a privately held specialist UK mortgage lender; Ionic Digital Inc., a privately digital mining company; Round Hill Capital, a private real estate fund; and Ventura Capital, a private equity firm. Ms. LaPuma previously served on the board of directors of Surgalign Holdings Inc. (formerly, OTC: SRGAQ), a global medical technology company before it was acquired in 2023. Ms. LaPuma graduated from The Wharton School at the University of Pennsylvania with a B.S. in Finance and an M.B.A. and from The School of Arts and Sciences at the University of Pennsylvania with a B.A. in International Relations. Ms. LaPuma brings to the Board over 20 years of experience advising on and structuring complex financial transactions, including securities offerings, mergers and acquisitions, and restructurings.

Richard Parisi, age 49. Mr. Parisi is the founder and managing partner of Catania Capital Partners LLC, an investment firm formed in 2020 focused on private equity and other junior capital investments across a range of industries, including telecom, media & technology, financial services and gaming. Prior to serving in that role, Mr. Parisi served as a senior investment professional at Silver Point Capital, L.P. from 2005 to 2020. He currently serves as the chairman of the board of directors of American Broadband Holding Company (d/b/a Fastwyre Broadband), a private broadband, video and voice service provider and a portfolio company of Madison Dearborn Partners, LLC, and Catania Capital. Mr. Parisi previously served on the board of directors of iPCS (formerly, NASDAQ: IPCS), a publicly traded telecom company that was ultimately sold to Sprint Nextel Corporation, from 2006 to 2007, and as the chairman of the board of directors of Affinity Gaming, a locally focused casino operator with properties in Nevada, Missouri, Iowa and Colorado, from 2013 to 2015. Mr. Parisi graduated from Duke University with a B.A. in Chemistry and Economics and received his M.B.A. from the Stanford University Graduate School of Business. Mr. Parisi brings over 25 years of investment and transaction experience to the Board.

WMIH numbers

WMIH CAPITAL RAISES				
Date	Capital Raise	Type of Capital	Price	Additional shares (mm's)
Starting share count				16.7
First Funding Round...				
1/31/14	\$11.0	convertible preferred	\$13.20	0.83
1/31/14	\$40.5	warrants	\$15.84	2.56
1/31/14	\$43.9	warrants	\$17.16	2.56
1/31/14	\$150.0	commitment PIK notes	8%	0
Proforma share count after first funding round				22.6
Second funding round...				
1/5/15	\$600.0	3% convertible pref.	\$27.00	22.22
Proforma share count after second funding round				44.9
Final funding round upon acquisition of NSM...				
7/31/18	\$848.1	equity	\$18.00	47.1
7/31/18	\$1,700.0	debt	8.57%	
				92.0
Total Equity Raised				\$1.694
Total Debt Raised				\$1.700
Debt/Cap. in funding acquisition				50.1%
Weighted Average Price from all Equity Raises				\$21.38
W.A. price of capital raises/post-money proforma BV				68.5%

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I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Capital raise, monetization of NOL, and acquisition.

Messages

Subject Great work
Entry 10/01/2024 11:47 AM
Member MarketEuphoria

Very aligned with your thinking here. I think you did the hard part with respect to valuation in scenario 2 to provide some grounding on returns. I've done some math as well but the circularity and required assumptions make the math imprecise, as you also note.

I think the most compelling case for LOGC is really the asymmetry. With \$0 to potentially a slight amount of cash burn given current interest income (going lower as fed cuts but cash burn should also shrink), buying at a discount to net cash exposes you to all of the upside. We can debate what that upside is, but it's very hard to imagine an outcome where a transaction that utilizes the DTAs **destroys value**. I think that makes the R/R here extremely compelling as downside is almost completely protected even if the upside is hard to precisely quantify. Risk here seems to be more about opportunity cost of tying up capital waiting for a deal.

Subject Thanks for a very interesting writeup
Entry 10/01/2024 12:43 PM
Member gb48

Two quick ones:

1) Can you explain why being based in CA "doesn't hurt." (Given the complexity and highly uncertain nature of using the State NOLs, I will leave them out of our analysis. Does it make more sense for them to acquire a CA-domiciled company?

2) How did WMIH play out? it seems like there were a ton of capital raises starting in 2014 but the deal with NSM only took place only in March of 2018 - so it was a pretty long four years... Any reason that LOGC might play out faster (or slower...)?

thank you

Subject Re: Great work
Entry 10/01/2024 01:02 PM
Member Supernova

Thank you MarketEuphoria. Agree on all counts. Upside is uncertain but skews to the upside while downside seems extremely limited creating nice asymetry. It's a free call option. It's the type of stock I like to own in an expensive market rather than holding cash. As you point out the risk is mainly time value of money.

Subject Re: Thanks for a very interesting writeup
Entry 10/01/2024 01:20 PM
Member Supernova

Hi gb48,

California has an 8.84% corporate tax rate, so "It doesn't hurt" being based there because they could potentially use there large state NOL to shelter their CA sate income, making the state NOL potentially very valuable. So yes, the state NOL has a great deal of potential value if they can find a business that generates a lot of taxable income in CA. See the first table in the appendix showing # of public companies in CA that might fit Logics needs on size and valuation.

WMIH took an unnecessarily long time to do a deal (five years). Although it played out spectacularly well, increasing 10x from pre-deal in 2013 to today. There is no reason it should take Logic more than a year or two to find a deal imo. If it plays out slowly I would attribute it to management and the board wanting to milk the company for comp. Although the CEO is on record publicly stating to expect a deal within "a reasonable amount of time" or he'll return the capital

There were two capital raises done with KKR, one in 2013 and one in 2015. Then a final one in 2018 with NSM. I'm not sure how Logic will approach it. My best guess is they will do one large capital raise with a financial sponsor prior to finding a deal.

Subject Re: Re: Thanks for a very interesting writeup
Entry 10/01/2024 01:44 PM
Member gb48

Thanks for the comprehensive response.

Subject agree with this valuation
Entry 10/01/2024 02:10 PM
Member moneytr33

nice work supernova thanks for posting

You touch on the weird rishi bajaj low onership part, but that has been my hold up here. (And I realize that at a certain price/value discount this becomes less of a big deal, maybe this is it.)

I believe Cannell put Bajaj on the board before selling out on the asset sale announcement. I fear that Bajaj might be incentivized to draw out the sale process over multiple years to collect more option grants? I would love to see him get a bigger package vesting >\$8 or something like that.

Subject Re: Re: Thanks for a very interesting writeup
Entry 10/01/2024 02:36 PM
Member gb48
 nova,

would you say acquiring a CA domiciled business could add about \$1.00/share in PV of DTA value?

getting there by 8.84% CA tax / 21% Fed tax rate you are using = $0.42 \times$ the \$2.20/share DTA value in your analysis = \$0.93/share for the CA NOLs?

Subject Re: Re: Thanks for a very interesting writeup
Entry 10/01/2024 04:16 PM
Member gb48

I found one thing somewhat perplexing in the analyses of scenario 1 and scenario 2.

The difference in Book value + DTA per share is only about 20% between the \$9/share in Scenario 1 and the \$11/share in Scenario 2. That seems like a pretty unexciting step up in value to shareholders when considered against the headache, risks, and and time-value of partnering with a PE/third party sponsor to do a bigger deal. I would have guessed the delta in value to existing LOGC shareholders should be at least 50%. Maybe i am missing something?

Subject Re: Re: Great work
Entry 10/01/2024 06:02 PM
Member avalon216

Supernova - Thanks for the great writeup and idea. Two points you raised concern me and I wonder if you or anyone else has further thoughts: (1) Can the 14% short interest really be explained by potential index deletion? What could we be missing here? (2) The CEO owns very few shares and runs a fund. What are his incentives here? What is the risk that he milks this for a salary?

Thanks.

Subject Re: Re: Re: Great work
Entry 10/02/2024 11:45 AM
Member bigvic

The short interest doesn't scare me...there are a couple of logical explanations. This was a great short from \$21B market cap to ~zero. My guess is that you have a bunch of guys that don't want to cover and pay taxes in 2024. Could also be quant shorts that see terrible GAAP financials and terrible price momentum for the past few years.

Subject Re: agree with this valuation
Entry 10/02/2024 06:28 PM
Member Supernova
 moneytr33,

Thank you for sharing your thoughts on Rishi. He is an important piece of the puzzle because we are depending on his capital allocation skills, which aren't clear to me. He appears to have had some success from 2009-2014 with his hedge fund AUM growing from incubation to >\$800MM. But then it fell sharply pretty quickly after 2014, presumably on performance issues. Although it has remained >\$100MM throughout from what I can tell. Having said that, I'm not sure applying his performance history to this situation is totally appropriate because our situation is so idiosyncratic. All we need is one idea, and even an average idea will suffice.

Regarding the potential he draws things out to milk the company for compensation, I would be surprised if he does that. 1) He has been managing a hedge fund with AUM of \$100MM-\$800MM for 15 years so \$620k a year probably doesn't move the needle much on his net worth much. 2) He has stated publicly he plans on doing a deal within a reasonable amount of time. Why set yourself up like that if he was planning to milk things for years. If he cares about his credibility and reputation as a business person, he will follow through on his word. 3) He chose to work for a \$1 salary at Logic. That may say something about his character and motivations.

Subject Re: Re: Re: Thanks for a very interesting writeup
Entry 10/02/2024 06:31 PM
Member Supernova

gb48,

Regarding the value of their state NOL, yes I come up with \$.95/share in value if they were able to utilize 100% of the state NOLs in CA under my Scenario Two (\$111MM in pretax income, 10% growth, 10% discount rate).

LOGC's STATE NOL VALUE			
	<u>NOL</u>	<u>DTA 21%</u>	<u>PV10-DTA</u>
2026	\$9.9	\$2.1	\$1.9
2027	\$10.9	\$2.3	\$1.9
.....			
2072	\$791.9	\$166.3	\$1.9
2073	\$871.1	\$182.9	\$1.9
Total	\$9,000	\$51	\$25
per share		\$1.97	\$0.95

Subject Re: Re: Re: Thanks for a very interesting writeup
Entry 10/02/2024 06:39 PM
Member Supernova

Regarding the 21% difference between the two scenarios, its a good point. I'll give this some thought and revisit my calculations. While the price difference between the two scenarios is only 21%, the return difference from here is 34% (99% upside with equity issuance, 65% without). That's a big enough difference to take on everything that comes with the equity raise imo, but point taken.

Subject Re: Re: Re: Great work
Entry 10/02/2024 06:45 PM
Member Supernova

Hi avalon,

I don't know what explains the short interest. I can't find a fundamental case for shorting it. bigvic's hypothesis that the shorts are deferring taxes on big gains is a possibility.

Regarding the CEO's incentives, he doesn't have much financial incentive. In terms of his incentive to draw things out, please see my earlier response to moneytr (comment #10).

Subject Rishi Bajaj
Entry 11/08/2024 10:41 AM
Member lightspot
 Anyone know Rishi or have solid insights on him? Specifically, is he known as a good capital allocator?

A reputable source I trust mentioned that the team at Altai Capital is "terrible," which was a bit surprising. Curious if any VIC members have other anecdotes or insights on him?

Subject Dumb Question
Entry 11/23/2024 02:52 PM
Member avalon216

I emailed the CFO on the \$609mm of DTAs (pre-valuation allowance) in footnote 9 of the 2023 10-K. This number seemed to match the value of the Federal NOLs but exclude the state NOLs. His reply was that it does include state NOLs, and that state NOLs account for less than 5% of this amount and that the number is so low because "The impact is dependent on the state by state method of pre or post apportionment and the tax rate of the state." I didn't follow his point, but it seems like he's saying the \$9bn of state NOLs are worth less than \$30mm at face value (\$1.1/shr). And therefore a fraction once usage and time value are accounted for, making them negligible. Does anyone else have a better understanding of this?

My understanding is that pre-apportionment is much more favorable, and that since California is a pre-apportionment state the state NOLs should have significant value to them, but it seems this is not the case. What am I missing?

Obviously the bulk of the value here was always the federal NOLs, but it would have been nice to have the state NOLs as a kicker. Thanks.

Subject Re: Rishi Bajaj
Entry 11/24/2024 11:03 AM
Member Mencken

They used to have 13-F's before blowing up on SunEdison, which is probably where the anecdote emanates from. They had some wins and some misses w his former partner Steve. Not sure how much of an infrastructure exists behind Rishi today

Subject Re: Dumb Question
Entry 11/24/2024 02:33 PM
Member Alpinist

I asked the company the same question before the Qoo10 acquisition closed, so if it is a dumb question, at least you are not alone...

This was their answer for assigning potential value to the state NOLs:

- The \$9 billion state NOLs figure in Wish's 10-K is the gross sum of the net operating losses (not tax-effected values) for all the states where the Company files tax returns.
- The total value of state NOLs is the sum of the individual "apportioned" state NOLs taxed at respective state tax rates. There are some states that require apportionment only the year of usage.
- In order to calculate the value of the state NOLs, those losses then have to be tax-effected and the NOLs need to be apportioned among the various states (which further reduces the value of the NOLs in any given state).
- Finally, the NOLs in many states expire and have shorter periods before they expire.
- As a result, in both FTI's analysis and in the proxy statement, we chose to focus on the federal NOLs.

So the actual value of the state NOLs will vary depending on the company LOGC acquires and the states in which that company generates profits (and can therefore offset those profits with LOGC's state NOLs). While the value of the state NOLs cannot yet be determined (and is therefore assigned little value today), the value is not \$0...

Since WISH was domiciled in CA, I assume a merger with a CA-domiciled company would enable LOGC to realize more value from the state NOLs than a merger with a company domiciled outside of CA.

Subject Re: Re: Dumb Question
Entry 11/25/2024 12:34 PM
Member avalon216
 Thanks.

Subject Re: Rishi Bajaj
Entry 11/26/2024 05:38 PM
Member gb48
 Share creep is kind of wild - Shares outstanding up 10% Y/Y in 3Q.

Subject Any Updates?
Entry 02/04/2025 03:36 PM
Member MarketEuphoria
 Has anyone heard anything from the Company or otherwise regarding a transaction timeline? I continue to value the NOLs at a minimum of \$2.50 on top of net cash of \$5.90, so call it \$8.50 in value should a transaction take place. Also would be curious to hear the minimum and maximum values others have placed on the NOLs.

We're creeping up on a year from the WISH / Qoo10 transaction so figured I'd maybe get the conversation started again here.

Subject Re: Any Updates?
Entry 02/04/2025 04:13 PM
Member Supernova

I have nothing new to add. Hoping for some movement on the funding/deal front soon. Based on management commentary last year I expect a much shorter timeline than WISH.

Subject BC Partners to Invest \$150mm in LOGC
Entry 02/25/2025 09:13 AM
Member MarketEuphoria
 Announcement [here](#)

Initial read positives:

- Doubles LOGC's cash balance from \$150ish to \$300mm
- BC's implied valuation for LOGC is \$8
- Seem like a good partner

Initial read negatives:

- Dilution but this was unavoidable
- After accounting for dilution on a net cash basis (i.e. no value for NOLs), stock should be \$6.67
- Interest rate on preferred will add to cash burn

Subject Re: BC Partners to Invest \$150mm in LOGC
Entry 02/25/2025 10:34 AM
Member Supernova

Agreed. It is following a similar path to WMIH, I just hope it doesn't take as long. They now have \$300MM (proforma) but still need \$1.3B more to make an acquisition big enough to use there DTAs over 15 years. I would expect them to use a mix of debt & more equity to get there.

Here are some updated numbers:

	<u>Ownership</u>	<u>PF shares</u>
Existing shareholders	58.4%	26.5
BC Partners	41.6%	18.9
Proforma shares outstanding	100.0%	45.3
Implied price paid		\$7.95

	<u>Current</u>	<u>Proforma</u>
Net cash	\$150	\$150
BCP funding	\$150	\$150
Proforma net cash	\$300	\$300
Net cash/share	\$5.67	\$6.62

Price	\$7.49	\$7.95
less BV/share	\$5.67	\$6.62
=Implied value of NOL	\$1.82	\$1.33
NOL value as % of PV10-DTA	26%	32%

PV10-DTA/share	\$7.14	\$4.17
Proforma BV/share	\$12.81	\$10.79
Upside		44%

WMIH's first funding round implied a price of only 17% of it's PV10-DTA value. Second and third rounds were done at 38% and 54%.

Subject Re: Re: BC Partners to Invest \$150mm in LOGC
Entry 02/25/2025 12:51 PM
Member MarketEuphoria

Supernova - thanks for sharing your updated math. I'm pretty aligned across the board. My valuation range for the PV of the DTA based on the EBIT purchased is below. Other assumptions include:

- 3% annual EBIT growth
- Tax rate: 15% (in case the Trump admin follows through with comments they made about lowering federal tax rate for some businesses during the campaign)
- Singly year deductibility: 80%
- Discount rate: 12%

<i>EBIT</i>	PV of DTA	PV of DTA per share
\$50	\$81	\$1.81
\$75	\$100	\$2.22
\$100	\$126	\$2.80
\$125	\$155	\$3.43
\$150	\$185	\$4.12
\$175	\$216	\$4.81
\$200	\$245	\$5.45
\$225	\$267	\$5.92
\$250	\$286	\$6.36

Note that the above is "before financing" as issuing equity to buy a larger business will impact the DTA valuation, due to additional dilution.

Would be curious to hear any thoughts on my numbers and if you would mind sharing the core assumptions around your \$4.17 in value.

Thanks!

Subject Re: Re: Re: BC Partners to Invest \$150mm in LOGC
Entry 02/26/2025 10:48 AM
Member Supernova

Hi MarketEuphoria,

I think your assumptions are very conservative.

Regarding the 3% growth rate, assuming they retain all their earnings in order to maximize taxable income they should be able to grow EBIT 9-10%. Growth rate = ROE * retention rate so a 10% ROE and 100% retention = 10% growth. If they can't do this organically they can do M&A...like a small bank or insurance co. roll-up. Consider that nominal GDP alone is ~5%, plus reinvestment should get you 9-10%. This is the growth rate I used in my valuation.

Regarding the 12% discount rate, that is also very conservative. What is more certain than taxes? As long as they generate taxable income the risk to using the DTA is very low. I've seen NOL models that use discount rates as low as 6% as the usage of them is almost risk-free. I used a 10% discount rate because at the end of the day we are discounting equity cash flows.

Regarding the 15% tax rate, it is certainly possible but given the current deficit I think it will be a high hurdle getting this through.

These are my main assumptions - 10% growth, 10% discount rate, 21% tax rate. I think I shared all my assumptions in the original pitch. If I'm wrong somewhere it is probably the amount of capital they initially raise and the size of an acquisition. I think there is a decent chance they make a smaller acquisition than I modeled. At present, the \$300MM in cash plus \$300MM in debt gets them to a \$600MM acquisition and I think I modeled a \$1.7B acquisition. I could see them doing something like this but then scaling up to \$1.7B+ via M&A over time.

Subject Re: Re: Re: BC Partners to Invest \$150mm in LOGC
Entry 02/26/2025 11:36 AM
Member MarketEuphoria
 Makes sense and I appreciate you sharing your updated thoughts

Subject BC Partners initial closing, and Rishi Bajaj employment agreement
Entry 03/12/2025 10:26 AM
Member Alpinist
 BC Partners' initial closing of \$75 million was completed on March 6, and on the same day the company entered into a modified [employment agreement](#) with Rishi Bajaj as CEO (base salary of \$550,000, with bonus potential of up to 150% of base salary) and 2.37 million Class P units (5% of the fully diluted units of [ContextLogic Holdings, LLC](#)).

80% of Rishi's grant of Class P units are subject to performance vesting based on the stock price achieved (20-day average closing price) during the four year period starting March 6, 2025, and 20% vest over four years (25% annually).

If the stock price does not reach \$10, none of the performance vesting units will vest. 37.5% of the units vest based on achieving a \$10 stock price (and at least two years of vesting), another 37.5% vest based on achieving a \$16 stock price (and at least three years of vesting), and the final 25% vest based on achieving a \$21 stock price (and four years of vesting):

Performance Criteria
 Upon the End Date, the Class P Member will become vested in that number of Performance Vesting Units as set forth in the table below based on the High Performance Level achieved during the Performance Period in accordance with the table below:

Performance Level	Cumulative Vested Units
Less than \$10.00	0
\$10	711,665.32
\$16	1,423,329.50
\$21	1,895,773.05

BC Partners' preferred converts at \$8.00 per share (above today's price), and for what it is worth, the performance targets shed some light on how they think about the range of potential values for the NOLs and their impact on LOGC stock.

Subject Re: BC Partners initial closing, and Rishi Bajaj employment agreement
Entry 05/05/2025 12:32 PM
Member SamPR

I'm curious how others are evaluating the BC Partners' investment. Do those terms seem a little too sweet? BC gets a 4% preferred dividend, and 8% once LOGC makes an acquisition. I'd much rather have those dividends (downside protection) for an \$8 conversion price than own the common here at \$7. BC also gets seats on the board. And it comes at a moment when Rishi Bajaj gets a big pay package. Is there some mutual back scratching here at the expense of common equity holders?

I do appreciate that the CEO's units vest only if the stock hits \$10. Just trying to figure out if the common is still a great risk-reward, and to that end thinking about whether this deal was struck with shareholders best interests.

Thanks in advance for any thoughts!

Subject Re: Re: BC Partners initial closing, and Rishi Bajaj employment agreement
Entry 05/05/2025 07:23 PM
Member Supernova
 Hi SamPR,

I thought the terms were about right. I don't think we will ever see the 8% coupon on the preferred...it will likely get converted to common upon acquisition funding. The terms on future funding rounds, if any, will likely improve from here as we saw at WMIH.

I still see fair value of ~\$11/share.

Subject Re: Re: Re: BC Partners initial closing, and Rishi Bajaj employment agreement
Entry 05/06/2025 02:38 PM
Member SamPR

Thanks for the reply, Supernova!

Why wouldn't BC keep the 8% coupon on the preferred? They don't have to convert until they choose, and it seems the strategy to maximize the value of the preferred shares would be only to convert if the common dividends exceed the 8%. That or they have a reason that they need liquidity through selling common stock.

If dividends are zero after acquisition funding, the 8% preferred dividend would remain as excellent downside protection.

Am I thinking about that the right way?

Thanks!

Subject Re: Re: Re: Re: BC Partners initial closing, and Rishi Bajaj employment agreement
Entry 05/07/2025 09:41 PM
Member Supernova

Yes I think you are correct on the preferred. WMIH's convertible preferred was mandatorily convertible but it looks like LOGCs is not. Logic can only force conversion five years after a deal. Still, five years of an 8% preferred probably doesn't have much of an impact on intrinsic value.

Sorry for the confusion and late reply...I was a bit tired after a long weekend in Omaha and then rushed through messages upon return.

My biggest concern today is the potential for BC Partners to take one of their inferior private companies public via LOGC. On a fully diluted basis BCP owns 42% of LOGC, plus board seats, so they hold a bit of sway. BCP could theoretically seek to reduce their stake in one of their less desirable private holdings by selling it to LOGC. I'm not saying I think that's what will happen but I see it as a possibility. Obviously huge conflicts of interest but nothing to prevent it.

Subject Delisting and OTC
Entry 05/30/2025 05:09 PM
Member MarketEuphoria

Unfortunately, stock down 15-20% AH because of delisting announcement. I calculate net cash post BC's first tranche at \$6.30ish so I imagine that is a floor. Maybe you discount that by risk-free given unknown timing until deal closure.

It's more annoying than anything else. Story hasn't changed at all.

<https://ir.contextlogicinc.com/news-releases/news-release-details/contextlogic-inc-commence-trading-otc-markets-and-delist-nasdaq>

Subject Corp governance changes / reorg
Entry 07/16/2025 07:38 AM
Member SamPR

Supernova and / or other informed holders:

Management is soliciting shareholder support for some corporate governance changes. I'm curious if any developments in corporate governance have you increasing or decreasing your price targets.

Thanks in advance!

Subject Re: Corp governance changes / reorg
Entry 07/16/2025 09:42 AM
Member Supernova

No changes to my estimate of value, which will overwhelmingly be driven by the pending acquisition of an operating company.

Subject Re: Re: Corp governance changes / reorg
Entry 07/17/2025 05:25 PM
Member kevin155

This reorg is designed to give LOGC/BC Partners maximum headroom to prevent the NOLs from being impacted by a change in control. See here for explanation of the Section 382 rule: <https://gemini.google.com/share/9da3bbbed6631>. The reorg prevents shareholders from buying >5% of the shares outstanding in order to prevent a Section 382 change-of-control.

Note that the BC Partners investment is in an LLC that is 58% owned by LOGC and 42% by BC Partners. There are no LOGC (public co) shares being issued to BC Partners. Presumably, at some point the BC Partners investment will be somehow exchanged/converted into public co shares. This could be done in phases over time to minimize a risk of a Section 382 change-of-control.

This structure also means that LOGC has the ability to potentially issue up to ~40m shares (something less than the 43m as converted shares) at the public co level to fund future acquisitions. Note the exact # of shares that can be issued depends on what % is issued to existing holders and the timing of future issuance may be limited by Section 382 rules. Presumably, LOGC and BC Partners would want to issue these shares in the future at >\$8/sh so they are "accretive."

Thus, due to their ability to issue more equity (limited by the change-of-control calculations), LOGC has significantly more firepower to do acquisitions than the ~\$300m of cash PF for the BC Partners investment.

Subject US Salt Deal
Entry 12/08/2025 10:27 AM
Member MarketEuphoria

Looks like we got our deal. Surface level seems like it was an overpay? Not an expert but most deals in the industry seem to be going in the 10-12x range and they paid 14x. On a PF basis that accounts for new cap structure, RO, and value of DTAs stock seems appropriately valued at today's prices to me. My quick math below. Curious how others are thinking about this

	Value using 101mm Units		
	Bear	Base	Bull
Adj. EBITDA	\$55.0	\$60.0	\$65.0
Multiple	10.0x	11.0x	12.0x
EV	\$550	\$660	\$780
Debt	(215)	(215)	(215)
Equity Value	\$335	\$445	\$565
FDSO	101.0	101.0	101.0
Price per share	\$3.32	\$4.41	\$5.59
DTA value per share	\$3.09	\$3.29	\$3.49
Price per share + PV of DTA	\$6.40	\$7.70	\$9.08

Subject Re: US Salt Deal
Entry 12/08/2025 01:45 PM
Member kevin155

What comps are you using to get to the 10-12x range?

Subject Re: Re: US Salt Deal
Entry 12/08/2025 02:31 PM
Member MarketEuphoria

Main deal I have found at 12.5x EBITDA : <https://www.kpluss.com/en-us/newsroom/press-releases/ks-sells-its-americas-salt-business-to-stone-canyon-industries-holding-mark-demetree-and-affiliates/>

Stone Canyon (also involved in the above deal) acquired Kissner Group (later renamed SCIH) for \$2bn. That valuation was much lower at 2x revenue of \$1bn, assuming 40% margins that could be as low as 5x. But the business mix was likely tied to much lower quality segment of salt so margins likely lower.

Valuation and revenue are implied / shown from

here: https://appliedantitrust.com/13_merger_review/1_settlements_doj/stone_canyon2021/stone_canyon_ddc_complaint2021_04_21.pdf

Not a lot of great comps here. Even bumping up the range to 12-14x, leaves me disappointed. Thought they would be able to buy a business more attractively because of the tax assets

Subject Re: Re: Re: US Salt Deal
Entry 12/08/2025 04:04 PM
Member kevin155

Ok thanks. I will say that I have a lot of respect for Abrams. So fact they are rolling and putting more into the deal is interesting.

Subject Author Exit Recommendation
Entry 12/09/2025 12:08 PM
Member Supernova

The author has recommended exiting the position

Subject Re: Author Exit Recommendation

Entry 12/09/2025 12:24 PM
Member Supernova

I thought the assignment was pretty easy. Maximize the value of the NOLs by buying a company with a high level of taxable income, thus pulling the value of the NOLs forward and maximizing their value. LOGC did not follow this NOL maximization strategy. Instead they acquired a salt mine for 15x '26e EBITDA and 24x fully-taxed free cash flow. U.S. Salt looks like a fine company, it is just the wrong one for an NOL shell like LOGC, imho. It feels more like a private equity playbook than an NOL maximization one. And I'm not a fan of the "string-of-pearls" strategy either, having seen enough SOTP conglomerates trade at big discounts to NAV seemingly forever.

While it was a sub-optimal outcome, 41% in 15 months is not too shabby. It is a good example of why it is so important to have a big margin-of-safety in the purchase price.

Subject Re: Re: Author Exit Recommendation
Entry 12/10/2025 10:02 AM
Member MarketEuphoria

Well said. And completely agreed.

Subject Re: Re: Re: US Salt Deal
Entry 12/10/2025 07:58 PM
Member avalon216

Is there a more cynical take than this simply being a bad deal?

The deal Abrams is getting out of this appears more favorable than what LOGC shareholders are getting. For example, Abrams just converted their equity in US Salt which was partnered with a PE firm (i.e. temporary capital) into permanent capital. Perhaps the PE wanted out and this was a good solution for Abrams? They also 'rolled over' their equity, but most of it is not at the LLC subsidiary level but instead at the LOGC parent level. That means if the parent/PubCo shares are more valuable (e.g. more flexibility to allocate the NOLs) then Abrams just got more valuable equity. I'm not sure if they are 100% equivalent, just pointing that out as another nuance. All in all, Abrams are getting a more favorable deal than prior LOGC shareholders.

Also, the rollover and equity issuance is happening at \$8, the same as BC invested at earlier this year when LOGC had no partners and limited funding. LOGC was in a much stronger position post the BC deal, yet Abrams is getting in at the same price...isn't a key part of the NOL valuation creation story supposed to be that equity raises happen at progressively higher prices, thereby monetizing the NOLs?

Abrams and BC now have 58% of the 'look-through' share count so they can do what they want now to use the NOLs, issue more equity to themselves at low valuations, etc.

This may be too cynical a take and I know Abrams has a strong reputation, but just wanted to throw this out there for feedback. I also found it interesting that it was not disclosed whether Rishi took a payout to facilitate this, beyond the TSUs vesting immediately.

Subject Re: Re: Re: Re: US Salt Deal
Entry 12/11/2025 11:05 AM
Member Supernova

I agree with your sentiment and had similar thoughts. I just don't get it. These are smart people. To be sure they understand the PV-NOL math. Yet they seemingly ignored it. There are conspiracy theories I could dream up, and have, but it's water under the bridge at this point.

Subject Re: Re: Re: Re: US Salt Deal
Entry 12/11/2025 02:45 PM
Member kevin155

The bull case is Abrams made >10x on LOAR over the last 13 years and this is their next platform.

Subject Re: Re: Re: Re: US Salt Deal
Entry 12/11/2025 04:40 PM
Member Supernova

...and LOAR has traded flat with the market since going public, is trading at 73x earnings, and has an ROE of 7%. It's hard to add value in M&A, especially in a crowded space. I'll take the under.